

**SUBSTITUTE FOR
SENATE BILL NO. 877**

A bill to make, supplement, adjust, and consolidate appropriations for various state departments and agencies, the judicial branch, and the legislative branch for the fiscal year ending September 30, 2026; to provide for expenditure of the appropriations; and to provide for certain conditions on the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

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PART 1

LINE-ITEM APPROPRIATIONS
FOR FISCAL YEAR 2025-2026

Sec. 101. There is appropriated for the various state departments and agencies, the judicial branch, and the legislative branch described in this part for the fiscal year ending September 30, 2026, from the following funds:



1	APPROPRIATION SUMMARY		
2	GROSS APPROPRIATION	\$	359,638,100
3	Interdepartmental grant revenues:		
4	Total interdepartmental grants and		
5	intradepartmental transfers		0
6	ADJUSTED GROSS APPROPRIATION	\$	359,638,100
7	Federal revenues:		
8	Total federal revenues		169,343,400
9	Special revenue funds:		
10	Total local revenues		0
11	Total private revenues		0
12	Total other state restricted revenues		33,849,000
13	State general fund/general purpose	\$	156,446,300
14	Sec. 102. DEPARTMENT OF ENVIRONMENT, GREAT		
15	LAKES, AND ENERGY		
16	(1) APPROPRIATION SUMMARY		
17	GROSS APPROPRIATION	\$	162,858,000
18	Interdepartmental grant revenues:		
19	Total interdepartmental grants and		0
20	intradepartmental transfers		
21	ADJUSTED GROSS APPROPRIATION	\$	162,858,000
22	Federal revenues:		
23	Total federal revenues		162,858,000
24	Special revenue funds:		
25	Total local revenues		0
26	Total private revenues		0
27	Total other state restricted revenues		0
28	State general fund/general purpose	\$	0



1	(2) WATER INFRASTRUCTURE		
2	Water state revolving funds	\$	123,273,000
3	GROSS APPROPRIATION	\$	123,273,000
4	Appropriated from:		
5	Federal revenues:		
6	Infrastructure investment and jobs act fund		123,273,000
7	State general fund/general purpose	\$	0
8	(2) ONE-TIME APPROPRIATIONS		
9	PFAS and emerging contaminants	\$	39,585,000
10	GROSS APPROPRIATION	\$	39,585,000
11	Appropriated from:		
12	Federal revenues:		
13	Infrastructure investment and jobs act fund		39,585,000
14	State general fund/general purpose	\$	0
15	Sec. 103. DEPARTMENT OF HEALTH AND HUMAN		
16	SERVICES		
17	(1) APPROPRIATION SUMMARY		
18	Full-time equated classified positions	0.0	
19	GROSS APPROPRIATION	\$	10,931,700
20	Interdepartmental grant revenues:		
21	Total interdepartmental grants and		0
22	intradepartmental transfers		
23	ADJUSTED GROSS APPROPRIATION	\$	10,931,700
24	Federal revenues:		
25	Capped federal revenues		0
26	Social security act, temporary assistance for		0
27	needy families		
28	Total other federal revenues		6,485,400

1	Special revenue funds:		
2	Total local revenues		0
3	Total private revenues		0
4	Total other state restricted revenues		0
5	State general fund/general purpose	\$	4,446,300
6	(2) HEALTH SERVICES		
7	Home health services	\$	9,931,700
8	GROSS APPROPRIATION	\$	9,931,700
9	Appropriated from:		
10	Federal revenues:		
11	Total other federal revenues		6,485,400
12	State general fund/general purpose	\$	3,446,300
13	BEHAVIORAL HEALTH SERVICES		
14	Autism services	\$	1,000,000
15	GROSS APPROPRIATION	\$	1,000,000
16	Appropriated from:		
17	State general fund/general purpose	\$	1,000,000
18	Sec. 104. DEPARTMENT OF MILITARY AND VETERANS		
19	AFFAIRS		
20	(1) APPROPRIATION SUMMARY		
21	GROSS APPROPRIATION	\$	152,000,000
22	Interdepartmental grant revenues:		
23	Total interdepartmental grants and		
24	intradepartmental transfers		0
25	ADJUSTED GROSS APPROPRIATION	\$	152,000,000
26	Federal revenues:		
27	Total federal revenues		0
28	Special revenue funds:		



1	Total local revenues	0
2	Total private revenues	0
3	Total other state restricted revenues	0
4	State general fund/general purpose	\$ 152,000,000
5	(2) ONE-TIME APPROPRIATIONS	
6	Selfridge Air National Guard Base	\$ 152,000,000
7	GROSS APPROPRIATION	\$ 152,000,000
8	Appropriated from:	
9	State general fund/general purpose	\$ 152,000,000
10	Sec. 105. DEPARTMENT OF NATURAL RESOURCES	
11	(1) APPROPRIATION SUMMARY	
12	Full-time equated classified positions	0.0
13	GROSS APPROPRIATION	\$ 33,849,400
14	Interdepartmental grant revenues:	
15	Total interdepartmental grants and	0
16	intradepartmental transfers	
17	ADJUSTED GROSS APPROPRIATION	\$ 33,849,400
18	Federal revenues:	
19	Total federal revenues	0
20	Special revenue funds:	
21	Total local revenues	0
22	Total private revenues	0
23	Total other state restricted revenues	33,849,400
24	State general fund/general purpose	\$ 0
25	(2) PARKS AND RECREATION DIVISION	
26	Recreational boating	\$ 165,600
27	GROSS APPROPRIATION	\$ 165,600
28	Appropriated from:	

1	Special revenue funds:		
2	Waterways account		165,600
3	State general fund/general purpose	\$	0
4	(3) RECREATIONAL LANDS AND INFRASTRUCTURE		
5	Fisheries infrastructure	\$	7,000,000
6	Recreational trail repairs and improvements		817,700
7	Snowmobile trail development and maintenance		1,907,900
8	State game and wildlife area infrastructure		10,000,000
9	GROSS APPROPRIATION	\$	19,725,600
10	Appropriated from:		
11	Special revenue funds:		
12	Game and fish protection account		17,000,000
13	Recreation improvement account		817,700
14	Snowmobile trail improvement fund		1,907,900
15	State general fund/general purpose	\$	0
16	(4) WATERWAYS BOATING PROGRAM		
17	State boating infrastructure and maintenance	\$	10,736,800
18	GROSS APPROPRIATION	\$	10,736,800
19	Appropriated from:		
20	Special revenue funds:		
21	Waterways account		10,736,800
22	State general fund/general purpose	\$	0
23	(5) ONE-TIME APPROPRIATIONS		
24	Wildlife management	\$	3,221,400
25	GROSS APPROPRIATION	\$	3,221,400
26	Appropriated from:		
27	Special revenue funds:		
28	Game and fish protection account		3,221,400

1	State general fund/general purpose	\$	0
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3 PART 2

4 PROVISIONS CONCERNING APPROPRIATIONS

5 FOR FISCAL YEAR 2025-2026

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7 **GENERAL SECTIONS**

8 Sec. 201. In accordance with section 30 of article IX of the
 9 state constitution of 1963, for the fiscal year ending September
 10 30, 2026, total state spending from state sources under part 1 is
 11 \$359,638,100.00 and total state spending from state sources under
 12 part 1 to be paid to local units of government is \$0.00.

13 Sec. 202. The appropriations under this part and part 1 are
 14 subject to the management and budget act, 1984 PA 431, MCL 18.1101
 15 to 18.1594.

16 Sec. 203. If the state administrative board, acting under
 17 section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount
 18 appropriated under this part or part 1, the legislature may, by a
 19 concurrent resolution adopted by a majority of the members elected
 20 to and serving in each house, inter-transfer funds for the
 21 particular department, board, commission, officer, or institution.

22 Sec. 204. Funds appropriated in part 1 are subject to
 23 applicable federal audit and reporting requirements. Prompt action
 24 shall be taken if instances of noncompliance are identified,
 25 including noncompliance identified in an audit finding. If any
 26 instance of noncompliance is identified, including noncompliance
 27 identified in an audit finding, the state budget director shall
 28 take necessary and immediate action to rectify it. The state budget
 29 director shall notify the senate and house appropriations



committees and the senate and house fiscal agencies when an instance of noncompliance is identified.

DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND ENERGY

Sec. 301. The unexpended funds appropriated in part 1 for water state revolving funds are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for the project under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support drinking water and wastewater large-scale construction projects.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$123,273,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 302. The unexpended funds appropriated in part 1 for PFAS and emerging contaminants are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for the project under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to address emerging contaminants in drinking water.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.



(c) The total estimated cost of the project is \$39,585,000.00.

(d) The tentative completion date is September 30, 2030.

DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

Sec. 501. (1) Funds appropriated in part 1 for Selfridge Air National Guard Base must be used to support costs of runway encroachment solutions while complying with air installation compatible use zone program recommendations, including, but not limited to, all of the following:

(a) Capital improvements necessary to shift the runway to the north and repair the airfield and nonairfield features of the base and surrounding community impacted by the shift.

(b) Infrastructure projects including, but not limited to, roadways repairs, vehicle access to the base and to the museum, stormwater drain and culvert repairs and modernization, force protection features, airfield features, and taxiway extensions.

(2) Unexpended funds appropriated in part 1 for Selfridge Air National Guard Base are designated as a work project appropriation. Unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support costs of runway encroachment solutions.

(b) The project will be accomplished by utilizing state employees, contracts with service providers, or both.

(c) The total estimated cost of the project is \$152,000,000.00.



1 (d) The tentative completion date is September 30, 2027.

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3 **DEPARTMENT OF NATURAL RESOURCES**

4 Sec. 601. The unexpended funds appropriated in part 1 for
5 wildlife management are designated as a work project appropriation,
6 and any unencumbered or unallotted funds shall not lapse at the end
7 of the fiscal year and shall be available for expenditure for the
8 project under this section until the project has been completed.
9 The following is in compliance with section 451a of the management
10 and budget act, 1984 PA 431, MCL 18.1451a:

11 (a) The purpose of the project is to support Michigan's
12 participation in the Chronic Wasting Disease Research Consortium
13 study.

14 (b) The project will be accomplished by utilizing state
15 employees, contracts with service providers, or grants.

16 (c) The total estimated cost of the project is \$3,221,400.00.

17 (d) The tentative completion date is September 30, 2030.

